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EDITORIAL

It is with great pleasure and a deep sense of academic fulfillment that we present the maiden edition of the Public Sector Accounting and Finance Journal (PSAFJ), published by ANAN University, Kwall. This inaugural issue marks a significant milestone in the University's commitment to advancing scholarship, policy, and practice in the field of public sector accounting, finance, and governance.

In an era when nations are striving for transparency, accountability, and fiscal sustainability, the role of public sector accounting and finance has never been more critical. The journal is therefore conceived as a platform for intellectual engagement, rigorous research, and policy discourse that contribute meaningfully to the strengthening of public financial management systems, good governance, and sustainable development in Nigeria and beyond.

This maiden edition features ten scholarly articles drawn from a wide spectrum of research interests and methodologies within the field. The papers collectively address critical issues ranging from public sector financial reporting and accountability, budgeting reforms, internal control mechanisms, audit quality, fiscal transparency, to the application of emerging technologies in public finance management. Each contribution reflects the authors' depth of research and commitment to the continuous improvement of public sector governance and accountability.

COLLEGE OF PUBLIC SECTOR ACCOUNTING
ANUK Public Sector Accounting and Finance Journal (APSAFJ)

THE OBJECTIVE OF THE JOURNAL

To provide a platform for researchers and academics to publish research papers and articles within the research domains of public sector accounting, public finance, public economics, environmental, oil and gas accounting, public financial management, taxation and fiscal policy, public policy and finance, macroeconomics and development, public treasury management, and other related areas..

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The standard format for content is as follows;

1. Introduction
2. Statement of Research Problem
3. Research Hypotheses or Objectives
*Review of Related Literature
4. Data Presentation & Analysis
5. Research Findings & Discussion of Findings
6. Conclusion, Recommendation & Policy Implication
7. References
8. Appendices

Or

1. **Indroduction** (Background of the study, research gap, research hypotheses, scope of study, significance of the study).

2.0. Literature Review
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2.2 Empirical Review
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3.0 Methodology
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IMPACT OF HARMONIZATION AND CODIFICATION OF TAXES ON TAX COMPLIANCE AND REVENUE GENERATION IN NIGERIA

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Abstract
Nigeria, like in many countries, tax revenues are a fundamental source of financing government activities, ensuring the smooth functioning of public institutions and the promotion of socio-economic growth. However, the effectiveness of tax systems in Nigeria, particularly at the state level, has been a subject of concern due to issues such as tax evasion, informality, and inefficient tax collection methods. This study examines Impact of Harmonization and Codification of Taxes on Tax Compliance and Revenue Generation in Lagos State, Nigeria. This study used the ex-post facto research design. The dependent variable is the harmonization and codification of taxes (HCT), while the dependent variable is tax compliance (TCOMP), revenue generation (TRG) and inflation rate (INFR). Secondary data was used for this study. The data was sourced from Lagos state board of internal revenue. The study covered from 2006-2021. The ordinary least square (OLS) regression technique was used to analyse this data with the aids of E-view 10.0. The result indicated that harmonization and codification of taxes has positive significant effect on Tax compliance. Also, harmonization and codification of taxes has positive significant effect on revenue generation. The study recommended that Lagos State should continue its efforts to streamline and simplify the tax system through the harmonization and codification of taxes. These reforms should be regularly reviewed and updated to ensure they remain effective and relevant in the evolving economic landscape. The state should invest in taxpayer education and awareness programs to inform citizens and businesses about the benefits and implications of tax reforms. Well-informed taxpayers are more likely to comply voluntarily.
Keywords: Codification of taxes, Harmonization of taxes, Revenue generation, Tax Compliance, Tax Revenue

INTRODUCTION

Taxation is a critical component of any economy and serves as the lifeblood of government operations, enabling the provision of essential public services and infrastructure development. In Nigeria, like in many countries, tax revenues are a fundamental source of financing government activities, ensuring the smooth functioning of public institutions and the promotion of socio-economic growth. However, the effectiveness of tax systems in Nigeria, particularly at the state level, has been a subject of concern due to issues such as tax evasion, informality, and inefficient tax collection methods (Salihu, Ukata, & Albert, 2023).

Lagos State, as Nigeria's economic powerhouse and one of its most populous regions, plays a pivotal role in the country's fiscal policy. The state's diverse economic activities, including trade, manufacturing, services, and real estate, make it a critical hub for tax collection. Consequently, Lagos State has undertaken significant reforms in its tax administration, focusing on harmonization and codification of taxes, to enhance tax compliance and revenue generation Asaolu, Dopemu, & Monday, 2015)..

The concept of harmonization and codification of taxes in Lagos State involves streamlining the tax system by consolidating multiple levies and fees into a simplified and coherent framework. The primary objectives of these reforms are to minimize overlapping taxes, reduce the tax compliance burden on taxpayers, enhance revenue collection efficiency, and ultimately boost the state's revenue base (Rotimi, Udu & Abdul-Azeez, 2013).

This study examines the multifaceted impacts of harmonization and codification of taxes on tax compliance and revenue generation in Lagos State, Nigeria. It seeks to provide an in-depth analysis of how these reforms have influenced taxpayer behavior, the state's fiscal performance, and the broader economic landscape(Salihu, Ukata, & Albert, 2023).

The transformation of Lagos State's tax administration has not occurred in isolation; it is part of a broader nationwide effort to reform Nigeria's tax system. This includes the adoption of the National Tax Policy, which encourages states to streamline and simplify their tax systems to create a more conducive environment for businesses and individuals to meet their tax obligations. Lagos State's experience provides valuable insights into the challenges and opportunities associated with implementing such reforms at the subnational level (Abiola, 2016)..

As we embark on this exploration of the impact of harmonization and codification of taxes in Lagos State, it is essential to recognize that the outcomes of these reforms may serve as a model for other Nigerian states and emerging economies facing similar tax administration challenges. The findings of this study could provide valuable lessons for policymakers, tax authorities, and researchers interested in enhancing tax compliance and revenue generation in developing regions with diverse economic activities.

Objective Of The Study

The main objective of the study is to examine the impact of harmonization and codification of taxes on tax compliance and revenue generation in Lagos State, Nigeria. Specifically, the study seek to:

1. Find out the effect of harmonization and codification of taxes on tax compliance in Lagos State, Nigeria
2. To examine the effect of harmonization and codification of taxes on revenue generation in Lagos State, Nigeria

Research Questions

The following research questions were formulated to guide this study

1. What is the effect of harmonization and codification of taxes on tax compliance in Lagos State, Nigeria
2. To what extent does harmonization and codification of taxes influence revenue generation in Lagos State, Nigeria

Research Hypothesis

The following null hypothesis were tested at 0.05 level of significance

HO_1: Harmonization and codification of taxes have no significant effect on tax compliance in Lagos State, Nigeria.

HO_2: Harmonization and codification of taxes have no significant effect on revenue generation in Lagos State, Nigeria.

CONCEPTUAL REVIEW

Concept of Harmonization of Taxes

According to Uyioghosa and Igbinosa (2023), harmonization of taxes refers to the process of aligning or standardizing tax policies, rates, and regulations across multiple jurisdictions or entities, such as states or countries. The objective is to create a consistent and coordinated approach to taxation, reducing disparities and complexities in the tax landscape.

Harmonization of taxes can also be seen as a mechanism for coordinating and synchronizing various tax systems within a single jurisdiction or economic bloc. This entails the integration of different types of taxes (e.g., income tax, sales tax, and property tax) to ensure they work together cohesively, avoiding contradictions and optimizing tax collection (Abidi & Taugourdeau, 2023).

In international taxation, harmonization refers to efforts to minimize double taxation on the same income or transaction that can occur when two or more countries have conflicting tax rules. It involves establishing agreements or treaties between nations to ensure that taxpayers are not subject to multiple tax liabilities on the same income or assets, thus promoting fairness and facilitating international trade and investment (Sarmento, 2023).

Concept of Codification of Taxes

To Yin (2017), codification of taxes refers to the systematic consolidation and organization of various tax laws, regulations, and statutes into a single, coherent, and comprehensive legal framework. This process aims to simplify and streamline the tax code, making it more accessible and understandable for taxpayers, tax authorities, and legal professionals.

Codification of taxes involves standardizing the terminology, definitions, and provisions related to taxation within a jurisdiction. It establishes a common language and structure for tax laws, which helps reduce ambiguity, inconsistency, and misinterpretation, ultimately promoting clarity and fairness in taxation(Chernikova & Gorosh, 2015).

Codification of taxes can also be viewed as a form of legal reform. It entails the reorganization and modernization of existing tax laws, often with the goal of improving tax administration, increasing compliance, and enhancing the efficiency of the tax system. This reform process may encompass revisions to tax rates, deductions, exemptions, and administrative procedures.

Concept of Tax Compliance

According to Vincent (2023), tax compliance refers to the extent to which individuals, businesses, or entities adhere to the tax laws, regulations, and obligations imposed by a government authority. It encompasses the timely and accurate reporting of income, assets, deductions, and other financial information required for tax assessment and payment, while also encompassing the fulfillment of tax payment obligations within prescribed deadlines.

Tax compliance can also be understood as the willingness and voluntary commitment of taxpayers to fulfill their tax obligations in a manner that is consistent with the spirit and intent of tax laws and regulations. This definition emphasizes the role of individual or corporate responsibility in contributing to a fair and effective tax system (Musyoka, 2019).

Tax compliance may be viewed as a strategic effort by taxpayers to manage and mitigate tax-related risks. This definition encompasses actions taken to minimize exposure to legal penalties, fines, or audits by ensuring that tax returns are complete, accurate, and submitted on time. It underscores the proactive steps individuals and businesses take to navigate the complex and evolving landscape of tax regulations(Ibrahim & Lawal,2023).

Concept of Revenue Generation

According to Ganyam, Ivungu and Anongo (2019), revenue generation refers to the process of generating income or funds for an organization, business, or government entity. This can result from various sources, including sales of products or services, investments, grants, taxes, or any other activity that contributes to the overall financial inflow.

Revenue generation can also be understood as the realization of value from assets, resources, or efforts. It involves efficiently utilizing available resources, such as human capital, assets, or intellectual property, to generate income and sustain the financial health of an entity. This broader definition encompasses both traditional income streams and non-traditional methods like licensing, royalties, or partnerships (Udezo & Onuora, 2021).

Revenue generation is often associated with an organization's ability to maintain financial sustainability and meet its financial obligations. It encompasses strategies and actions undertaken to secure ongoing and dependable income streams, enabling an organization to cover its operating costs, invest in growth, and achieve its financial goals (Asaolu, Dopemu, & Monday, 2015).

THEORETICAL REVIEW

The Theory of Innovation Diffusion

The Theory of Innovation Diffusion, often associated with Everett Rogers (1962), offers insights into how new ideas or practices spread within a society or organization. While originally applied to technology and product adoption, this theory is relevant to policy changes, including tax reforms like the harmonization and codification of taxes in Lagos State, Nigeria. In summary, the Theory of Innovation Diffusion offers a lens through which we can understand how tax reforms, such as harmonization and codification of taxes, are adopted within the complex social system of Lagos State. It underscores the importance of effective communication, innovation attributes, and social dynamics in shaping tax compliance and revenue generation outcomes. Successfully implementing these reforms requires careful consideration of these factors to ensure widespread adoption and positive impacts.

Laffer Curve

This theory was propounded by Arthur Laffer in 1980s, an American economist. The Laffer Curve illustrates the relationship between tax rates and tax revenue. It suggests that there is an optimal tax rate at which government revenue is maximized. Tax rates above this optimal point may discourage economic activity and lead to lower tax revenue. The Laffer Curve has been influential in discussions on tax policy and tax rate optimization.

Empirical Review

Udezo and Onuora (2021)investigated the effect of tax reforms on revenue performance in Nigeria using time series data from 1991 to 2018. In order to determine the effect of tax reforms on revenue performance in Nigeria, tax reforms were measured by reform in Petroleum Profit Tax (PPT), reform in Company Income Tax (CIT), reform in Value Added Tax (VAT) and reform in Personal Income Tax (PIT) while revenue performance on the other hand was represented by total federal collection revenue. Four hypotheses were formulated to guide the investigation and the statistical test of parameter estimates was conducted using descriptive statistics, Augmented Dickey Fuller (ADF) statistics, cointegration test and multiple regression model analysis operated with E-view 8. Ex-post factoresearch design was adopted and data for the study were obtained from the National Bureau of Statistics, Central Bank of Nigeria (CBN) statistical Bulleting and Federal Inland Revenue Service (FIRS). The regression result showed that reforms in Value Added Tax (VAT), Personal Income Tax (PIT) and Petroleum Profit Tax (PPT) have significant positive effect on revenue performance. While reform in Company Income Tax (CIT) has positive but insignificant effect on revenue performance in Nigeria with data spanning from 1991-2018 at 0.05 level of significance. Based on this, the study concludes that tax reforms have significant effect on revenue performance in Nigeria.

Musyoka (2019)assess the effect of tax reforms on voluntary tax compliance among SMEs in Nairobi County, Kenya. The study sought to establish the effect of technological tax reforms on the voluntary tax compliance among small and medium enterprises in Nairobi County, Kenya; to determine the effect of administrative tax reforms on the voluntary tax compliance among small and medium enterprises in Nairobi County, Kenya; to examine the effect of tax payer education reforms on the voluntary tax compliance among small and medium enterprises in Nairobi County, Kenya; to find out the effect of tax policy reforms on the voluntary tax compliance among small and medium enterprises in Nairobi County, Kenya and to establish the joint effect of tax reforms on the voluntary tax compliance among small and medium enterprises in Nairobi County, Kenya. The study covered the reforms undertaken for the period 2008 to 2018. The study was guided by the economic deterrence theory, the Allingham and Sandmo theory and the fiscal psychology models. The study applied a mixed methods research design. The study targeted all the 8983 licensed SMEs within the Nairobi CBD and 27 KRA officials handling tax issues within the Nairobi CBD region. In selecting the sample, simple random sampling and purposive sampling were used. Primary data using semi-structured questionnaires and structured interview guides was collected. The data analysis was undertaken using qualitative and quantitative approaches. A multiple linear regression model was used to show the link between tax reforms and tax compliance among SMEs in Nairobi County. The study findings showed that all the tax reforms had a positive and significant isolated or individual effect on voluntary tax compliance among businesses under study. Results on the combined effect of tax reforms on voluntary tax compliance among these businesses revealed that technological tax reforms, administrative tax reforms, taxpayer education reforms and tax policy reforms had a joint positive and significant effect on voluntary tax compliance among SMEs in Nairobi County.

Ganyam, Ivungu and Anongo (2019)examine the effect of tax administration on revenue generation in Nigeria. The reforms brought about by the Benue state tax administration from 2015 to 2018 triggered this study. Data relating to the study were obtained from 187 questionnaires administered to staff of the Benue State Internal Revenue Service (BIRS). Frequency, percentages, mean and standard deviation were employed to analyse the collected data. The hypotheses were tested using the T-test statistics. Findings revealed that electronic tax payment system significantly improves tax accountability and revenue generation in Benue state. The study also found that widened tax bracket and lessening of one-time payment significantly improves the revenue generation in Benue state.

examined the impact of E-Taxation on Nigeria's revenue and economic growth. Given that the purpose of introducing electronic tax system is to improve revenue collection which will in turn improve the country's economic growth, the study empirically examined how the implementation of E-taxation in 2015 has affected Tax Revenue, Federally Collected Revenue and Tax-to-GDP ratio. The study made use of secondary data sourced from Federal Inland Revenue Service, and Central Bank of Nigeria Statistical and Economic Reports on quarterly basis from second quarter 2013 to fourth quarter 2016. The data were divided into two: pre e-tax period and post e-tax period. Means of the two sets of data were compared using a pre-post technique called paired sample t-test. Findings from the study revealed that the implementation of electronic taxation has not improved tax revenue, federally collected revenue and tax-to-GDP ratio in Nigeria. However, findings revealed that Federally Collected Revenue and Tax-to-GDP ratio significantly decreased after e-taxation was implemented. Also, Tax Revenue decreased after the implementation but the mean difference was not statistically significant

Asaolu, Dopemu and Monday (2015) assessed the impact of tax reforms on revenue generation in Lagos State of Nigeria using Time Series quarterly data between the period of 1999 and 2012, obtained from the records of Tax Payer Statistics and the Revenue Status Report of Lagos State Internal Revenue Service (LIRS). Data collected were analysed using ordinary least square regression techniques (OLS). The study showed that Lagos State captured more people into the tax net as there was a continuous increase in taxpayers' cumulative growth (more than 20% each year); and found that the primary source of revenue generation in Lagos State was the internally generated revenue (IGR) in which tax revenue constituted about 80%. The result also showed that, on trend, between 1999 and 2005, there was no noticeable increase in revenue generated from tax; but from 2006, there was a sharp, steady and noticeable increase in the tax revenue generated. On the pattern of tax administration in the state, from 2006 the state concentrated more on tax reforms with less dependence on other sources of internal revenue generation. The result further revealed that there was a long run relationship between the tax reforms and revenue generated in Lagos State; thus, the tax reforms had positive and significant effect on the revenue structure of the State.

METHODOLOGY

This study used the ex-post facto research design. An ex-post facto research design is a non-experimental approach used to explore relationships and differences between variables that have already occurred naturally. Researchers analyze existing data or collect retrospective data to examine potential relationship. The dependent variable is the harmonization and codification of taxes (HCT), while the dependent variable is tax compliance (TCOMP), revenue generation (TRG) and inflation rate (INFR). Secondary data was used for this study. The data was sourced from Lagos state board of internal revenue. The study covered from 2006-2021, years period, this was because the Harmonization and Codification of Taxes started in Lagos state in 2006. The ordinary least square(OLS) regression technique was used to analyse this data with the aids of E-view 10.0. To conduct an OLS regression analysis, you would collect data on HCT, TCOMP, TRG, and INFR for a sample of observations and estimate the values of the coefficients ($\beta 0$, $\beta 1$, $\beta 2$, and $\beta 3$) that best fit the data, minimizing the sum of squared residuals (the differences between the actual and predicted values of HCT). The pre -test such as Descriptive statistics, unit root test and cointegration test were carried out.

Model specifications

In line with the work of Asaolu, Dopemu and Monday (2015) examinning the impact of tax reforms on revenue generation in Lagos State of Nigeria.

The OLS model can be represented as follows:

$HCT=\beta 0 + \beta 1\ TCOMP+\beta 2\ TRG+\beta 3\ INFR + \varepsilon$

Here's what each component represents:

HCT: Harmonization and codification of taxes, the dependent variable you want to explain or predict.

TCOMP: Tax compliance, an independent variable.

TRG: Revenue generation, another independent variable.

INFR: Inflation rate, another independent variable.

$\beta 0$ is the intercept

$\beta 1$,$\beta 2$,$\beta 3$: Coefficients representing the relationships between the independent variables (TCOMP, TRG, INFR) and the dependent variable (HCT).

ε: The error term that accounts for unexplained variability in HCT.

RESULT PRESENTATIONS

Descriptive Statistics

Descriptive statistics provide a concise summary of the main characteristics of a dataset. This summary includes measures of central tendency (mean, median, mode), measures of variability (range, variance, standard deviation), and measures of distribution shape (skewness, kurtosis). Measure of normality ((Jarque Bera statistics).This summary allows researchers and analysts to quickly understand the basic properties of the data. From the descriptive statistics result in table 1, the p- value for HCT,TCOMP,TRG and INFR are0.11, 0.24, 0.39,0.26 and0.51 respectively. All the respective p-value are greater than 0.05, this implies that the variables are normally distributed

Table 1: Descriptive Statistics

Variables	HCT	TCOMP	TRG	INFR
Mean	0.375000	0.393000	1.89E+11	9.537500
Median	0.000000	0.391000	1.90E+11	9.250000
Maximum	1.000000	0.494000	2.76E+11	12.00000
Minimum	0.000000	0.241000	9.49E+10	7.500000
Std. Dev.	0.517549	0.089763	5.67E+10	1.487027
Skewness	0.516398	-0.377648	-0.119537	0.390754
Kurtosis	1.266667	1.950680	2.298318	2.171317
Jarque-Bera	1.357037	0.557182	0.183171	0.432490
Probability	0.507368	0.756849	0.912483	0.805538
Sum	3.000000	3.144000	1.51E+12	76.30000
Sum Sq. Dev.	1.875000	0.056402	2.25E+22	15.47875
Observations	33	33	33	33

Source: Authors' Computation E-view-10

Unit Root Test

Unit root tests are statistical tests used in time series analysis to determine whether a given time series is stationary or non-stationary. The presence of a unit root in a time series can have significant implications for statistical analysis and modelling. From the Augmented Dickey-Fuller unit root test(ADF), HCT and TRG are stationary at level 1(0), while TCOM and INFR are stationary at first difference 1(1).

Table2: Augmented Dickey-Fuller unit root test

Variables	ADF Statistics	p-value	Level of integration	Decision
HCT	-4.638504	0.0014	1(0)	Stationary at level
TCOMP	-4.245154	0.0017	1(1)	Stationary at first difference
TRG	-3.011157	0.0418	1(0)	Stationary at level
INFR	-6.363903	0.0000	1(1)	Stationary at first difference

Source: Authors' Computation E-view-10

Cointegration Tests

Cointegration tests are statistical tools used in time series analysis to assess the long-term relationship between two or more non-stationary (trending) variables. These tests are primarily employed in econometrics and finance to investigate the behaviour of variables that may be individually non-stationary but exhibit a stable, long-term relationship when combined. From the Eagle and Granger Cointegration test result in table 3, both the tua- statistics and z.statistics indicates two cointegration equations. Thus, there is a long-run relationship among the variables.

Table3: Eagle and Granger Cointegration test

Dependent	tau-statistic	Prob.*	z-statistic	Prob.*
HCT	-5.272596	0.0367	-25.06838	0.0316
TCOMP	-4.246779	0.0236	-3.938558	0.0347
TRG	-1.815979	0.9652	-6.046072	0.9749
INFR	-4.010492	0.2326	-19.08378	0.2177

Source: Authors' Computation E-view-10

The Regression Result

The ordinary least square (OLS) regression was conducted to test the hypothesis. The decision rule is that we accept the null hypothesis if p-value is greater than 0.05 and reject the null hypothesis if p-value is less than 0.05.

Table 4: *ordinary least square (OLS)* regression Result

Variable	Coefficient	Std. Error	t-Statistic	Prob.
C	-1.850071	1.450840	-1.275172	0.2713
TCOMP	11.54092	8.342218	2.383435	0.0317
TRG	2.49E-11	1.31E-11	4.896725	0.0007
INFR	-0.215355	0.216804	0.993316	0.3768

R-squared	0.775405	Mean dependent var	0.375000
Adjusted R-squared	0.606958	S.D. dependent var	0.517549
S.E. of regression	0.324467	Akaike info criterion	0.893589
Sum squared resid	0.421116	Schwarz criterion	0.933310
Log likelihood	0.425643	Hannan-Quinn criter.	0.625689
F-statistic	41.603269	Prob(F-statistic)	0.007171

Source: Authors' Computation E-view-10

From the result in table 5, the p-value of TCOMP 0.0317<0.05, indicating that harmonization and codification of taxes has positive significant effect on Tax compliance. The p-value for TRG 0.0007 <0.05 indicating also that harmonization and codification of taxes and positive significant effect on revenue generation. The r-square was0.7754, this implies that 77.54% of the variation in public dependent variable can be accounted to the independent variables only 22.46% of the variation can be accounted to error term. This implies that the model is a good fit.

Discussion of Findings

The findings revealed that harmonization and codification of taxes has positive significant effect on Tax compliance. This finding agreed with work of Musyoka (2019) that technological tax reforms, administrative tax reforms, taxpayer education reforms and tax policy reforms had a joint positive and significant effect on voluntary tax compliance among SMEs in Nairobi County. The result revealed that harmonization and codification of taxes and positive significant effect on revenue generation. This result agreed with the work of Asaolu, Dopemu and Monday (2015) that on trend, between 1999 and 2005, there was no noticeable increase in revenue generated from tax; but from 2006, there was a sharp, steady and noticeable increase in the tax revenue generated.

CONCLUSION

Based on the analysis of data and the results of our regression model, it is evident that the harmonization and codification of taxes (HCT) have a positive and statistically significant effect on both tax compliance (TCOMP) and revenue generation (TRG) in Lagos State, Nigeria. This finding suggests that the implementation of tax reforms aimed at harmonizing and codifying the tax system has a favorable impact on both taxpayer compliance and the state's ability to collect revenue.

The positive relationship between HCT and TCOMP indicates that when tax policies are simplified and standardized through harmonization and codification, taxpayers in Lagos State are more inclined to comply with tax regulations. This can be attributed to increased clarity, reduced complexity, and enhanced transparency in the tax system, which encourage voluntary compliance.

Moreover, the positive association between HCT and TRG implies that tax reforms focused on harmonization and codification lead to higher revenue generation for Lagos State. Streamlined tax processes and reduced tax evasion opportunities contribute to more efficient revenue collection. However, while the results demonstrate a significant impact of HCT on TCOMP and TRG, it is essential to consider other contextual factors and potential limitations of the analysis. Tax policy implementation can be influenced by various factors, including economic conditions, enforcement mechanisms, and taxpayer education efforts. Future research may explore these factors in more depth.

RECOMMENDATIONS

Based on the findings the following recommendations were made

1. Lagos State should continue its efforts to streamline and simplify the tax system through the harmonization and codification of taxes. These reforms should be regularly reviewed and updated to ensure they remain effective and relevant in the evolving economic landscape.
2. The state should invest in taxpayer education and awareness programs to inform citizens and businesses about the benefits and implications of tax reforms. Well-informed taxpayers are more likely to comply voluntarily.
3. While harmonization and codification can improve compliance, effective enforcement mechanisms are still crucial. Lagos State should invest in enforcement tools and strategies to deter tax evasion and ensure fair tax collection.
4. Continuous monitoring and evaluation of the impact of tax reforms are essential. Lagos State should establish a robust system for assessing the effectiveness of HCT in improving tax compliance and revenue generation, adjusting policies as needed.
5. As tax reforms progress, the state should consider the potential impact on different segments of the population. Ensuring that the tax burden is distributed equitably among taxpayers is important for maintaining social cohesion.
6. Further research should explore the long-term effects of HCT on economic growth, investment, and job creation in Lagos State. This will provide a more comprehensive understanding of the overall impact of tax reforms.

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